

demand, which in turn was the result of a deficiency in investment demand. He criticized the assumption of a *laissez-faire* economy in the classical theory and advocated policy intervention to increase demand and employment.

Later, attempts were made to integrate ideas from both the schools, which led to the “neoclassical synthesis”. The IS-LM model that we discuss in Unit 3 is an outcome of the neoclassical synthesis. During the 1950s, economists such as Harrod, Domar and Kaldor extended the Keynesian ideas from short-run to long-run. They argued that there would be an increase in production capacity in the long run because of large investments. This in turn would boost economic growth. The focus of these economists, called the Post-Keynesians, was to understand, explain and analyse economic growth. In order to overcome certain limitations of the post-Keynesian growth models, Robert M. Solow came up with the neoclassical growth model. You will go through these growth models in the course, ‘Economics of Growth and Development’.

Keynesian school of thought dominated economic theory and policy after the World War II until the 1970s. During the 1970s most of the advanced economies witnessed stagnation and inflation, a situation called “stagflation”. Keynesian theories did not have appropriate policy response to stagflation, which led to the exploration of fresh explanations of economic behavior. Robert E. Lucas, an American economist, revived the classical ideas and countered the prevailing Keynesian thought. The ideas of classical and Keynesian schools differ from each other on various issues, including: i) the role played by demand and supply in determination of equilibrium output, employment and prices; ii) the assumption of flexibility of price level and wage rate in the economy; iii) the dichotomy of real and monetary sectors of the economy, and (iv) neutrality of money.

After the 1970s, however, there was revival of classical economics in the form of new-classical theory. In response to that, new-Keynesian models came up. New Classical economics retained the basic characteristics of classical economics but introduced two new concepts: rational expectations and micro-foundations. We will cover these aspects in later units of this course.

Along with these mainstream schools of thought, there is heterodox schools of thought or heterodox economics. It includes Marxist, Austrian, institutional, feminist and social economics among many others. In fact, there is a need for promoting pluralism in economics these days and researchers are venturing into many new areas. The mainstream or conventional economics, as mentioned, earlier have been Classical and Keynesian. The legacy of these two schools of thought have continued in different forms. Two prominent schools of thought in recent years have been New-Classical economics and New-Keynesian economics. There are certain common features of these two schools of thought: (i) general equilibrium models, (ii) micro-foundations in behaviour of economic agents, and (iii) rational expectations. Two major differences between both the schools of thought are: (i) the assumption regarding market structure – the new-classical school assumes that there is perfect competition in the market while the new-Keynesian school assumes market imperfection. (ii) the assumption of flexibility in wages and prices – the new-classical school assumes flexibility in

wages and prices while the new-Keynesin school assumes rigidities in wages and prices.

1.3 BASIC FEATURES OF CLASSICAL THEORY

Classical economics evolved against the perception of ‘mercantilism’. The mercantilists believed that the wealth of nations depended on the stock of bullion (or, gold and silver) and adopted policies that promoted exports and discouraged imports through subsidies and tariffs. Classical economists discarded such ideas and believed that ‘wealth of nations’ depended on real factors. For them, money is merely a medium of exchange. Important features of classical theory are as follows:

- (i) **Microeconomic Issues:** Classical economists dealt mostly with microeconomic issues pertaining to behavior of economic agents such as firms and households. In classical view, a firm maximizes its profits subject to a resource constraint. Similarly, households try to maximize their utilities or economic gains given their budget constraints. Classical economists believed in the optimising tendencies of the market mechanism. According to classical economists, variables such as price level, wage rate and output level should be determined by market forces (supply and demand).
- (ii) **Laissez Faire:** Classical economists believed in the philosophy of ‘laissez faire’, which is a French term meaning ‘leave alone’ or ‘let you do’. According to this view, there should be minimal intervention from the government in business affairs. In fact, Adam Smith suggested that government should confine itself to three main duties, viz., (i) national defense, (ii) administration of justice (law and order), and (iii) establishing and maintaining certain public works (infrastructure, education, etc.).
- (iii) **Invisible Hand:** Adam Smith introduced the concept of the ‘invisible hand’. According to him, the economy will function well if everyone pursues his/ her own interest. According to him, “It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest”. Individuals pursuing self-interest seem to be led by an ‘invisible hand’ to maximise the general welfare of everyone in the economy. It is not the generosity of a producer in selling a commodity; it is his/her self interest. Similarly, the consumers are not doing a favour to the producer; they are pursuing their own interest in buying the commodity. The philosophy of the invisible hand confined classical economists to the analysis of the behavior of economic agents; they failed to see any conflict between interest of economic agents and that of the economy as a whole.
- (iv) **Continuous Market Clearing:** Classical economists assumed that prices and wage rates are flexible. As you know from microeconomics, equilibrium price is determined at the level where supply and demand are equal. Given the supply and demand curves, if demand is more compared to supply, price will increase. Similarly, if supply is more compared to demand, price will decrease. This principle applies not only to commodities, but also to wage rate. If supply of labour is more than its

demand, there will be a decline in wage rate till supply of labour equates its demand. An implication of the above is that there is no unemployment in the economy – wage rate will decline till all workers are employed. There is no disequilibrium in the market.

- (v) **Perfect Competition:** Classical economists assumed that there is perfect competition in the market so that markets function smoothly. As there is full employment (due to flexibility in wage rate), production is always at the full employment level. An implication of the above is that there is no scope for ups and downs in the level of output. Going by this logic, the classical economists ruled out the possibility of ‘business cycle’.
- (vi) **Say’s Law of Market:** Classical economists believed that production or supply is the key to economic prosperity. Thus, they emphasized more on the supply side of the economy. This approach is summarized very well in the Say’s law, named after the prominent classical economist J B Say. According to J B Say, ‘supply creates its own demand’. Whenever some production takes place, there is a stream of income in the hands of people, which generates demand.

A person should have produced something to sell (say, for example, labour) and thereby earned certain income. Thus, in the classical viewpoint, there is no scope of deficiency of demand in the economy. Therefore, primary concern before an economy is production or supply, not demand.

- (vii) **Neutrality of Money:** According to classical economists, economic growth of an economy is due to increase in the factors of production and technological progress. Money is just a medium of exchange; and it facilitates transactions among economic agents. Thus, increase in money supply does not affect the level of output – it only leads to increase in prices (see quantity theory of money discussed below). They believed that there is dichotomy between monetary variables such as money supply and prices, and real variables such as output and employment. Thus, classical economists stressed the role of real factors in deciding the real variables such as output and employment. As mentioned earlier, classical economists believed in free market systems without government intervention. Determination of output, employment and interest rate in the classical system is given below.

We discuss some of the major issues in the next section.

Check Your Progress 1

- 1) Write down the important features of classical theory.

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